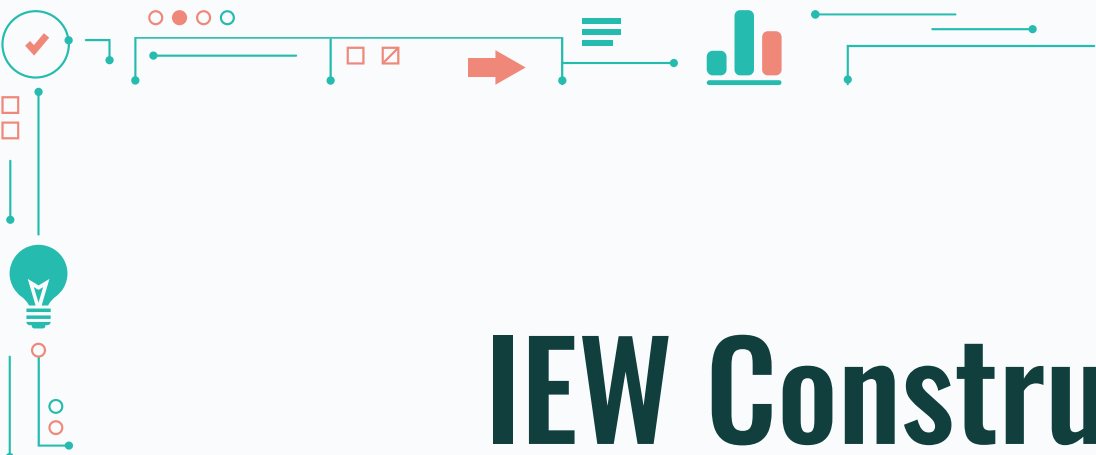




IEW Construction: Output Problem and Management



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Company Access

Company: IEW Construction Group

- Industry: Heavy civil construction & infrastructure
- Headquarters: Hamilton, New Jersey

Primary Contact

- Vaughan “Chip” Grundy III
- CEO & President

Company Overview

- Mid-sized firm (200–500 employees)
- Founded in 1925 (Vaughan S. Grundy)
- Family owned business

Specialization

- Large scale infrastructure projects
- Example: Roads, bridges, utilities, etc



Background Information and Secondary Data Research

Operations

- Cross functional teams (planning, bidding, execution)
- Manages multiple large scale projects simultaneously

Key Stakeholders

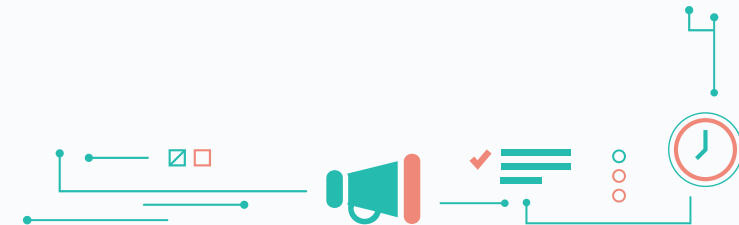
- Government agencies (primary clients)
- Suppliers (materials & equipment)
- Competitors (bid based contracts)

Current Position

- \$500M+ project backlog
- Major opportunities (NJ Turnpike, \$125 - 150M design build project)

Risk

- High upfront costs (\$400K) with no guaranteed contract
- Design build projects place full responsibility on IEW



Data Collection Methods

Primary Research:

- 3 interviews with CEO Vaughan “Chip” Grundy III
- Focused on identifying & analyzing the output problem

Interview Timeline:

- Initial: February 13th (Virtual, ~45 min)
- Follow-Up: March 13th (Phone, ~30 min)
- Closing: March 27th (Phone, ~30 min)

Secondary Research:

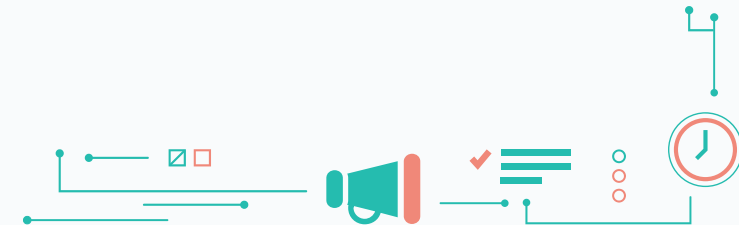
- IEW History, competitors, & upcoming projects
- Construction industry trends, regulations, & best practices

Data Sources:

- US Bureau of Labor Statistics & FRED Economic Data
- Industry reports (ABC, Gateway Program)
- Company website & ZoomInfo profile

The Output Problem

- Main Problem: **Lack of mid-to-high level project managers**
- Record backlog – higher volume of jobs than ever before
 - 40 Active Jobs → Increasing Employee Pressure
- Large outside projects pull away union workers and high-level managers
 - Leads to longer, harder hours for current employees
- Variety of perspectives within IEW:
 - Management – Challenge
 - Employees – Opportunity



Output Problem Analysis – Decision-Making

- Decision-Making: process of **making choices** based on one's values, perceptions, and beliefs, often leading to a **preferred, optimal outcome**
 - Identity problem → Analyze solutions → Implement solution
- For IEW, strong decision-making helps management evaluate staffing challenges



Output Problem Analysis – Decision-Making

- IEW illustrates the principles of decision making in several ways...
 - 1.) Keeping current employees **satisfied** and employed
 - 2.) Selecting projects that are **financially optimal**
 - 3.) **Balancing a record backlog** with available project managers
- Every decision, from retaining one employee to bidding hundreds of millions, directly impacts IEW's growth & sustainability

Output Problem Analysis – Organizational Justice

- **Organizational justice** - how fairness and ethicality is perceived in the workplace among employees and management.
- There are three main components of organizational justice, which are **distributive justice, procedural justice, and interactional justice**.
- **Distributive justice** - the fairness of resource allocation, such as whether an employee's pay is perceived to be fair for the work they conduct. **Procedural justice** is employees' judgements on how decisions are made and implemented, such as whether a choice by management was fair, accurate, and ethical. **Interactional justice** is the perception of whether workers are treated with respect and honesty.

Output Problem Analysis – Organizational Justice

How IEW demonstrates Organizational Justice:

- **Distributive Justice:** Yearly employee reviews conducted by the IEW management team: At the end of each year, the management team reviews each employee in order to ensure fair compensation, with a good review typically resulting in a 2.5-3% average wage increase.
- **Interactional Justice:** The management team at IEW prefers employees, whether on-site or office workers, to be in-person due to the nature of the construction industry; however, many current and prospective employees prefer to have a suitable amount of remote work. In several instances, applicants have been deterred from the position due to these conflicting perspectives and other company employees have quit due to family and location needs.

Recommendation #1: Implement a Workforce Planning System

Overview: Before committing to any project, conduct a structured review covering staffing needs, financial risk, work overload, and contingency plans

Key Actions:

- Build a PM pipeline: identify and train high-potential employees early with a defined development timeline
- Balance growth opportunities against staff capacity and financial risk before each bid decision
- Develop contingency plans to prevent workload crises like the I-80 sinkhole response (12-hr days, 4 months)

Recommendation #2: Develop a Transparent Retention Strategy

Overview: Clearly communicate compensation guidelines, promotion paths, policies, and business decisions to build trust and reduce turnover

Key Actions:

- Formalize a clear compensation framework so employees understand how and why pay decisions are made (distributive justice)
- Define promotion paths so employees see long-term growth at IEW, reducing the appeal of outside offers
- Show appreciation and involve employees in key communications — feeling valued directly reduces voluntary turnover

Recommendation Tactics

Goal: Increase the likelihood that IEW leadership accepts and acts on these recommendations

Tactic 1 — Authority:

- Anchor each recommendation with recognized industry leaders: Suffolk and Kiewit for workforce planning; Salesforce and ADP for retention strategy
- Credibility from big-name companies reduces resistance and signals these are proven, not theoretical, solutions

Tactic 2 — Social Proof:

- Demonstrate that similar mid-sized construction firms are adopting these practices and seeing measurable results in retention and staffing
- Showing that peer organizations are already succeeding with these approaches removes doubt and builds confidence in adoption



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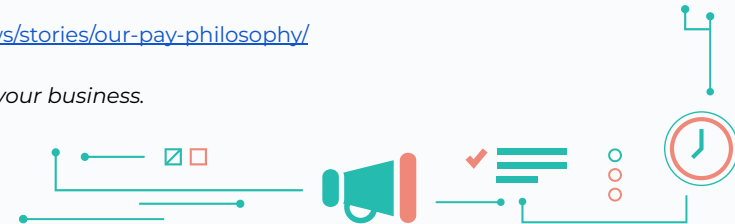
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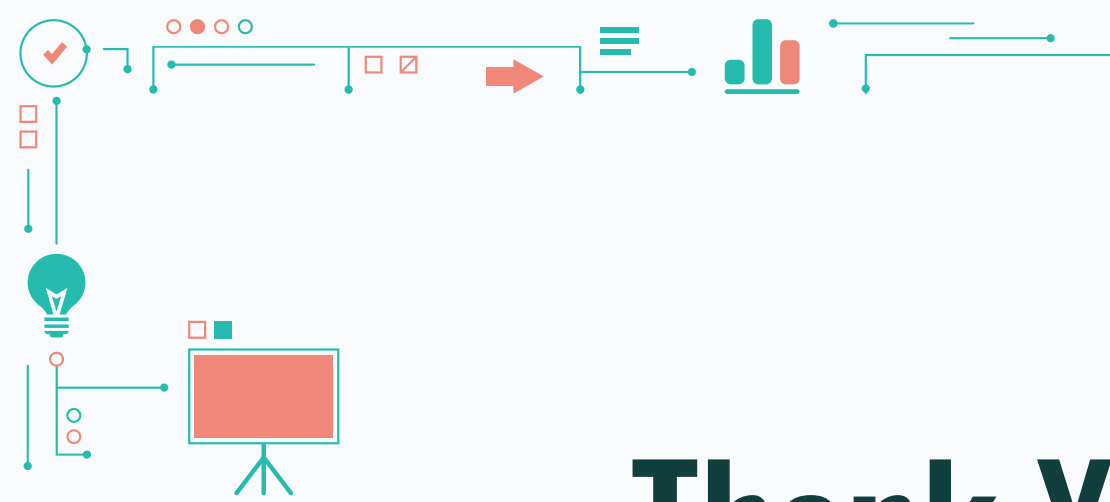
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Thank You!

